

Corporate Structure. In analyzing the position of a railroad company, it is often necessary to consider not only its own operations, but also those of subsidiary or affiliated lines in which it has a substantial investment. Atchison and Southern Pacific publish reports covering the results of the entire system, but New York Central has large stock holdings in a number of important lines which report their operations separately. The aggregate mileage of these controlled companies actually exceeds that of the New York Central proper. Each year the subsidiaries carry a substantial amount to surplus, a good part of which really accrues to New York Central stock, but is not reflected in the parent company's return. To afford a proper basis for judging the value of New York Central shares, we shall analyze its earning power as indicated both by its own statement and by a consolidated report embracing all its subsidiaries. An added reason for using the latter method is found in a recent statement that the New York Central intends to acquire the outstanding minority shares of the controlled companies, in order to merge their operations with its own.

The following table lists the separately operated subsidiaries of the New York Central, together with their mileage and the percentage of stock held within the system.

NEW YORK CENTRAL SYSTEM

Company	Mileage	% of stock owned
N. Y. Central R. R.	6,069	
Cincinnati Northern	245	56.9
C. C. C. & St. Louis	2,421	50.1
Indiana Harbor Belt	120	60.0
Kanawha & Michigan	176	100.0
Lake Erie & Western	738	50.1
Michigan Central	1,865	89.8
Pittsburgh & Lake Erie	224	50.1
Toledo & Ohio Central	492	100.0
Total system	12,350	

As regards Southern Pacific also, the exhibit of previous years must be revised, in order to reflect the adjustments that have followed from the recent segregation of the oil properties. Allowance is to be made for the elimination of the former oil income, the exchange of convertible bonds into stock and the receipt of \$43,000,000 in cash through the sale of the Pacific Oil shares.